

BURNING QUESTIONS



From lenders' pressure to funding issues, auditor resignations to board member departures and governance issues, BYJU'S is facing multiple headwinds



CEO Byju Raveendran, however, is hopeful of a favourable resolution to the term-loan dispute soon



A Board Advisory Committee is being set up to guide the CEO on board composition and governance



BYJU'S is negotiating a new round with investors in the Middle East and restructuring sales to improve cash flow

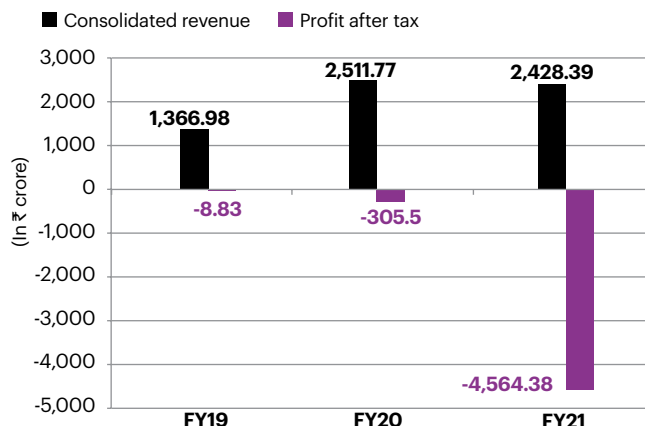


“Resigning will not absolve board members of liabilities that may have accrued when they were directors”

JIDESH KUMAR
CORPORATE LAW EXPERT AND
MANAGING PARTNER,
KING STUBB & KASIVA

DEEP IN THE RED

Losses have mounted faster than the company's revenue growth at BYJU'S



Source: PrivateCircle Research

forthcoming after repeated requests, it (Deloitte) feared that there could be some inconsistencies in financials and it didn't want to take responsibility. That is why it has pre-emptively stepped down. If there are no issues around financial management, why wouldn't BYJU'S provide these documents to its statutory auditor?" asks a senior executive at a Big Four firm. There are also reports that the Ministry of Corporate Affairs is inspecting the firm's books, though BYJU'S has denied it.

Meanwhile, the impending legal battle apparently proved to be the tipping point for investors. Three sources, speaking on condition of anonymity, say the board members' desire to step down was a result of discussions that stretched over several months due to concerns such as delayed financial statements, Enforcement Directorate raids and issues with lenders. The board seats were vacated "solely due to investors' shareholdings falling below the required level", says a BYJU'S spokesperson. "It was unrelated to the litigation with lenders."

But Jidesh Kumar, Managing Partner at law firm King Stubb & Kasiva, says resigning will not absolve board members of liabilities that may have accrued when they were directors. "If there are any irregularities, the Companies Act provides the directors a forum to register their complaints, in the form of the Registrar of Companies. If they've not performed their duties, they can't take refuge by merely resigning from the board."

Meanwhile, employee morale has hit rock bottom as senior executives with over a decade of service were laid off recently.

COURSE OF ACTION

Raveendran, though, looks ready to meet the challenges head-on. His top priority is to settle the dispute with lenders amicably and secure much-needed funding. At a town hall meeting